

National Natural Resources and Fiscal Commission Act, 2017

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National Natural Resources and Fiscal Commission Act, 2074 (2017)

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Amending Act

1. Some Nepal Acts Amendment Act, 2075 (2018) 2075.11.19

Act Number 17 of the year 2074 (2017)

Preamble: Whereas, it is expedient to make necessary provisions regarding the functions, duties and powers of the National Natural Resources and Fiscal Commission,

Now, therefore, the Legislature-Parliament has enacted this Act in accordance with subsection (1) of Article 296 of the Constitution of Nepal. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "National Natural Resources and Fiscal Commission Act, 2074 (2017)."

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Chairperson" means the Chairperson of the Commission.

(b) "Commission" means the National Natural Resources and Fiscal Commission established pursuant to Article 250 of the Constitution.

(c) "Plan" shall include a scheme, project, or programme.

(d) "Member" means a member of the Commission and includes the Chairperson.

(e) "Constitution" means the Constitution of Nepal. Chapter-2

Functions, Duties and Powers of the Commission

3. Functions, Duties and Powers of the Commission: (1) In addition to the functions, duties and powers specified elsewhere in the Constitution and this Act, the other functions, duties and powers of the Commission shall be as follows:-

(a) to recommend to the Province regarding the fiscal equalization grant to be provided by the Province to the Local Level pursuant to the Provincial law,

(b) to prepare the basis for conditional grants to be provided by the Province to the Local Level pursuant to the Provincial law and recommend to the Province,

(c) to provide necessary facilitation and assistance to resolve disputes arising between the Government of

Nepal, Province or Local Level regarding revenue sharing,

(d) to advise the Government of Nepal regarding grants to be provided by the Government of Nepal to the Province and Local Level,

(e) to provide necessary advice if the Government of Nepal or the Province requests any suggestion regarding revenue sharing,

(f) to provide necessary advice if the Government of Nepal, Province or Local Level requests suggestions regarding taxes levied by the Government of Nepal, Province or Local Level,

(g) to provide necessary advice to the Government of Nepal, Province and Local Level on matters of conservation and utilization of natural resources.

(2) While providing suggestions or recommendations or preparing a framework pursuant to the Constitution and this Act, the Commission shall also take into account the performance of the Province and Local Level. 4.

May Obtain Deliberation and Consultation: The Commission may consult or obtain advice, in relation to its functions and duties, from other constitutional bodies, Government of Nepal, government offices of Province and Local Level or public institutions. 5. May Avail Services of Experts: If any work to be performed pursuant to the Constitution and this Act cannot be accomplished by the manpower working in the Commission, the Commission may, stating the reason therefor, avail the services of concerned experts or specialized bodies in accordance with the prevailing federal law. 6. May Constitute Committee or Task Force: (1) For the purpose of performing any work of a special nature relating to the Commission, the Commission may, prescribing procedures, constitute a committee or task force. (2) The functions, terms of reference and procedures of the committee or task force constituted pursuant to subsection (1) shall be as determined by the Commission at the time of constituting such committee or task force. 7. May Coordinate and Cooperate: The Commission may, as required, coordinate and cooperate with constitutional bodies, Government of Nepal, government offices of Province and Local Level or public institutions. 8. Duty to Provide Assistance in the Work of the Commission: If the Commission, in the course of performing its functions, requests for information, details or assistance from any body or official, it shall be the duty of the concerned body or official to provide such information, details or assistance. Chapter-3 Operation of the Commission 9. Office of the Commission: The office of the Commission shall be located in Kathmandu Valley. 10. Meeting of the Commission: (1) The work to be performed by the Commission pursuant to the Constitution, this Act and other prevailing laws shall be done in accordance with the decision of the meeting of the Commission. (2) The meeting of the Commission shall be held on such date, time and place as may be fixed by the Chairperson as required. (3) The Secretary of the Commission shall fix the date, time and place for the meeting of the Commission and send a notice, including the agenda for discussion in the meeting, to all members in such a manner that they receive it generally forty-eight hours prior to the time of the meeting. (4) If a member wishes to discuss in the meeting any matter other than those included in the agenda to be discussed in the meeting pursuant to subsection (3), such member shall submit a notice, stating the subject matter and reason for such discussion, to the Secretary of the Commission at least twenty-four hours prior to the meeting.

Upon receipt of such notice, the Secretary of the Commission shall promptly inform all members thereof.

(5) Notwithstanding anything contained in subsections (3) and (4), with the consent of all members present at the meeting of the Commission, a matter not included in the agenda may also be discussed and decided upon.

(6) If more than fifty percent of the members for the time being holding office in the Commission are present, the quorum shall be deemed to have been constituted for the meeting of the Commission.

(7) The meeting of the Commission shall be chaired by the Chairperson.

(8) The decision of the Commission shall be made by a majority of votes, and in case of a tie, the person chairing the meeting shall cast the deciding vote.

(9) The Secretary of the Commission shall prepare a record of the decision of the Commission and cause it to be signed by the Chairperson and members.

(10) The most senior employee of the Commission shall act as the Secretary in the meeting of the Commission.

(11) Other procedures relating to the meeting of the Commission shall be as determined by the Commission itself. 11. Division of Work: The division of work of the Chairperson and members shall be as determined by the Commission. 12. Performance of Acting Function: If the office of the Chairperson falls vacant for any reason, amended by Some Nepal Acts Amendment Act, 2075 (2018).if he or she is unable to perform the functions of office pursuant to subsection (6) of Article 101 of the Constitution, if he or she goes on a foreign visit, or if he or she remains on leave for more than seven days, the most senior member of the Commission shall act as the acting Chairperson of the Commission. 13. No Obstruction in the Work and Proceedings of the Commission: No work and proceedings of the Commission shall be obstructed merely by reason of a vacancy in the seat of a member. Chapter-4

Mobilization of Natural Resources, Revenue Sharing and Grants

14.

Basis to be Taken into Account while Mobilizing Natural Resources: (1) The Commission shall, based on the following criteria, determine the share of investment to be made by the Government of Nepal, Province and Local Level in the mobilization of natural resources and recommend to the Government of Nepal:- (a) status and revenue generation capacity, (b) investment capacity, (c) share of benefits to be received, (d) share of consumption of benefits received, (e) status of and need for infrastructure, (f) economic condition and geographical structure. (2) The Commission shall, based on the following criteria, determine the share of returns to be obtained from the mobilization of natural resources pursuant to subsection (1) and recommend to the Government of Nepal:- (a) location of the mobilized natural resource, (b) area affected by the mobilization of the natural resource, (c) dependence on the mobilized natural resource, (d) population benefitting from the returns, (e) population dependent on the natural resource, (f) participation in conservation and sustainable management of the natural resource. 15. Basis to be Taken into Account while Sharing Revenue: (1) The Commission shall determine the detailed basis and framework for sharing revenue between the Government of Nepal, Province and Local Level, and between Province and Local Level, based on the following criteria, and recommend to the Government of Nepal:- (a) population and demographic details, (b) area, (c) human development index, (d) expenditure need, (e) effort made in revenue collection, (f) infrastructure development, (g) special circumstances. (2) The detailed basis and framework determined by the Commission pursuant to subsection (1) shall remain valid for five years, and the Commission shall review it every five years and recommend to the Government of Nepal. (3) Notwithstanding anything contained in subsection (2), if it is deemed necessary to review the detailed basis and framework first determined pursuant to subsection (1) after the commencement of this Act, before the expiry of five years for special reasons, the Government of Nepal may request the Commission to do so. If the request made by the

Government of Nepal appears reasonable, the Commission shall review the detailed basis and framework determined pursuant to subsection (1) and recommend to the Government of Nepal. (4) Notwithstanding anything contained in subsection (3), the detailed basis and framework first determined pursuant to subsection (1) shall not be reviewed more than once in five years. 16.

Basis to be Taken into Account while Recommending Grants: (1) While recommending to the Government of Nepal and the Province regarding the fiscal equalization grant to be provided by the Government of Nepal to the Province and Local Level, and by the Province to the Local Level, pursuant to prevailing law, the Commission shall take into account the following criteria:- (a) human development indicators such as education, health, drinking water in the Province and Local Level, (b) status of balanced development of other Provinces or Local Levels, (c) status of economic, social or any other type of discrimination existing in the Province and Local Level, (d) status and need for infrastructure development of the Province and Local Level, (e) services to be provided by the Province and Local Level to the people, (f) revenue status and revenue generation capacity of the Province and Local Level, (g) expenditure need of the Province and Local Level. (2) While recommending to the Government of Nepal and the Province regarding the conditional grant to be provided by the Government of Nepal to the Province and Local Level, and by the Province to the Local Level, pursuant to prevailing law, the Commission shall take into account the matters mentioned in clause (c) of subsection (1) of Article 251 of the Constitution and subsection (1). (3) While recommending the fiscal equalization grant pursuant to subsection (1), the Commission shall recommend the minimum grant to be received by each Province and Local Level, and the fiscal equalization grant to be received by each Province and Local Level according to the criteria set forth in subsection (1). Chapter-5 Miscellaneous 17. Organizational Structure and Employees of the Commission: (1) The organizational structure and staffing of the Commission shall be as approved by the Government of Nepal. (2) The employees required for the operation of the Commission shall be provided by the Government of Nepal. 18. Observance of Official Dignity and Conduct: The Chairperson and members of the Commission shall, while performing their functions, observe official dignity and conduct in accordance with the Constitution, this Act and prevailing law. 19.

Annual Report: (1) The Commission shall submit an annual report of its work and proceedings to the President within three months from the expiry of the fiscal year. (2) The annual report pursuant to subsection (1) shall include, in addition to other matters, the following subjects:- (a) details regarding the implementation of the annual programme of the Commission and expenditures, (b) details of recommendations and advice given by the Commission to the Government of Nepal, Province and Local Level, (c) status of implementation of recommendations and advice, (d) details of financial and physical resources of the Commission and their utilization, (e) suggestions on improvements to be made on other matters relating to natural resources and revenue sharing, (f) details of other work and proceedings undertaken regarding the fulfillment of obligations required to be performed by the Commission pursuant to this Act. (3) After the report pursuant to subsection (1) is submitted to the Federal Parliament, the Commission shall publish the report for the information of the general public. 20. Contact with the Government of Nepal: While contacting the Government of Nepal, the Commission shall do so through the Ministry of Finance of the Government of Nepal. 21. Delegation of Powers: The Commission may, as required, delegate any of the powers conferred on it pursuant to the Constitution and this Act, subject to the specified conditions, to the Chairperson, a member, the Secretary of the Commission, or any officer employee of the Government of Nepal, Province or Local Level to exercise and comply accordingly. 22. Power to Make Rules: (1) The Commission may make necessary rules for the implementation of this Act. (2) If the rules made pursuant to subsection (1) contain matters that impose financial burden or liability on the Government of Nepal, the consent of the Ministry of Finance shall be

obtained. (3) Rules made by the Commission pursuant to subsection (1) shall come into force from the date of publication in the Nepal Gazette. 23. Power to Make Directives or Procedures: The Commission may, subject to this Act and the rules made under this Act, make necessary directives or procedures for the smooth operation or causing of the work to be performed by the Commission.